Busted patterns count. As one might expect, downward breakouts have a substantially higher bust rate than upward breakouts (more than twice as often). That's not a bad thing if you want to go long after a busted downward breakout to capture a big rise.

Busted occurrence. I told my computer to count how often a pattern busted (single, double, or more than twice). Single busts happen most often. For downward breakouts, triple busts (triple+) come in second for frequency. That may sound odd, and I think it is, but it's something we've seen in other chart pattern types.

Busted and non-busted performance. Is it better to trade a busted pattern than a non-busted one? Yes, but only if you can find a single busted pattern. Comparing all three busted patterns (single, double, and three or more busts) to their non-busted counterparts, the results do not show a significant performance edge.

However, if you take pleasure from failure, then wait for a downward breakout from a broadening wedge to fail (drop 10% or less) and buy when price closes above the top of the chart pattern. There's a good chance (83%) that the pattern will single bust, leaving the clouds as your goal and a gain averaging 49%. That's if you trade it perfectly and frequently.

Trading Tactics

Table 12.10 shows trading tactics.

Measure rule, targets. The measure rule for wedges is different from most other chart patterns in that it is based on the lowest low in the pattern (for downward breakouts only). As the table shows, price reaches that target 71% of the time.